proxy voting advice and amending Rule 14a-9 to add to the list of examples provided in the Note to that rule. We are adopting these amendments to Rule 14a-1(l) and Rule 14a-9 substantially in the form proposed, with certain modifications as described in the discussion that follows.

We recognize that for some shareholders, the services provided by proxy voting advice businesses can be an important component of the larger proxy voting process and, as such, help facilitate the participation of shareholders in corporate governance through the exercise of their voting rights.[26] We are also mindful that the efficacy and effectiveness of the proxy voting system depend on the ability of shareholders to obtain transparent, accurate, and materially complete information from an array of relevant parties before making their proxy voting decisions. To enable shareholders to make informed voting decisions, Congress and the Commission have placed varying obligations on participants in the proxy voting process, including through Commission rulemakings pursuant to the broad authority granted by Congress to regulate proxy solicitation.[27]

For example, registrants and others who engage in a proxy solicitation generally must furnish shareholders with a definitive proxy statement containing numerous specified disclosures.[28] They must also generally file all of their additional soliciting materials with the Commission, which ensures that all shareholders and interested parties have access to their soliciting statements and have an ability to consider such statements as part of their voting decisions and, in certain situations such as in a proxy contest, respond to them.[29] The Commission, however, has long recognized that these general requirements applicable to

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[26] *See* Proposing Release at 66525.

[27] *See infra* notes 55-60 and accompanying text for a discussion of the multifaceted nature of the Federal securities laws' security holder voting and ownership disclosure regulatory framework.

[28] 17 CFR 240.14a-3; 17 CFR 240.14a-101.

[29] 17 CFR 240.14a-6(b).

registrants and others engaged in a proxy solicitation may not be necessary under certain circumstances and, throughout the years, has tailored the application of these requirements as needed. For example, shareholders who beneficially own more than $5 million of securities and who do not seek proxy voting authority are exempt from the requirement to file a definitive proxy statement when they engage in a solicitation, but they still must publicly file with the Commission any written soliciting materials sent to security holders and are subject to the antifraud provisions of Rule 14a-9 with respect to the content of those soliciting materials.[30] Parties conducting certain other solicitation activities, including the furnishing of proxy voting advice, have relied on other exemptions from the requirement to file proxy statements.[31] Still other activity has been entirely exempt from the proxy rules, including Rule 14a-9.[32]

The Commission has periodically adjusted the proxy rules in response to market developments, including to provide shareholders with additional sources of information.[33] In calibrating the rules and exemptions, the Commission has generally sought to avoid unnecessary burdens that may deter the expression of views on matters presented for a vote while ensuring that

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[30] 17 CFR 240.14a-2(b)(1); 17 CFR 240.14a-6(g).

[31] 17 CFR 240.14a-2(b). Rules 14a-2(a) and (b) set forth a number of activities that fall within the definition of a solicitation but for which the requirement to file a definitive proxy statement does not apply. This includes, for example, the delivery of registrants' proxy materials by securities intermediaries to their clients and the securities intermediaries' request for voting instructions from their clients (Rule 14a-1(a)(1)), solicitations by or on behalf of a person who does not seek proxy authority (Rule 14a-2(b)(1)), solicitations of no more than ten persons (Rule 14a-2(b)(2)), the furnishing of proxy voting advice by advisors to their clients under certain circumstances (Rule 14a-2(b)(3)), the publication or distribution by a broker or a dealer of research reports under specified conditions (Rule 14a-2(b)(5)), and the solicitations through electronic shareholder forums by persons who do not seek proxy voting authority (Rule 14a-2(b)(6)).

[32] 17 CFR 240.14a-2(a).

[33] For example, the Commission has recalibrated the exemptions "to provide shareholders with additional sources of information, opinions and views" to inform their voting decisions, and to remove impediments that it determined "unduly hindered free discussion" among registrants, shareholders, and other interested parties. Communications Among Shareholders Adopting Release; *see also* Concept Release ("The Commission has actively monitored the proxy process since the 1930s and has made changes when the process was not functioning in a manner that adequately protected the interests of investors.").

shareholders have transparent, accurate, and materially complete information upon which to make their voting decisions.[34] In this regard, the Commission has been guided by the "fundamental conclusion that the interests of shareholders are best served by more, and not less, discussion of matters presented for a vote."[35] This same principle guides us again as we update the Commission's rules in light of current market practices and circumstances.

As explained in the Proposing Release, proxy voting advice businesses have become an increasingly important and prominent part of the proxy voting process as institutional investors, who own a majority of the outstanding shares in today's market,[36] often retain proxy voting advice businesses to assist them in making their voting determinations and voting their shares on behalf of clients. In recent years, registrants, investors, and others have expressed concerns about the role of proxy voting advice businesses. These concerns include the accuracy and soundness of the information, and the transparency of the methodologies, used to formulate proxy voting advice businesses' recommendations. Concerns have also focused on potential conflicts of interest that may affect the recommendations made by the proxy voting advice businesses.[37] In addition, questions have been raised about whether registrants have an adequate opportunity to review and respond to proxy voting advice before votes, informed by such advice, are cast and whether shareholders have an adequate opportunity to review the proxy voting advice, including in the context of any response from the registrant or others, before casting their votes.[38] These concerns

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[34] *See* Communications Among Shareholders Adopting Release (noting concerns about "secret" solicitations, as well as concerns about the burden on shareholders).

[35] *Id.*

[36] *See, e.g.*, A. DE LA CRUZ ET AL., OECD, OWNERS OF THE WORLD'S LISTED COMPANIES 22 (2019), *available at* https://www.oecd.org/corporate/Owners-of-the-Worlds-Listed-Companies.pdf ("In the United States, institutional investors hold around 72% of the domestic stock market value.").

[37] *See* Proposing Release at 66525.

[38] *See id*. at 66529.

and changing market conditions, as discussed above, prompted the Commission to consider amendments to the exemptions commonly used by proxy voting advice businesses, which had been crafted before proxy voting advice businesses played the significant role that they now do in the proxy voting process and in the voting decisions of investment advisers and institutional investors.[39] A number of the comment letters we received in response to the Proposing Release continue to express these concerns.[40]

In updating our rules to facilitate better informed proxy voting, we do not believe that it is necessary to subject proxy voting advice businesses to the Federal proxy rules' information and filing requirements applicable to registrants and certain others, such as the filing and furnishing of definitive proxy statements, as long as they satisfy certain requirements tailored to their role in the proxy process. In particular, we believe that concerns raised regarding the increase in intermediation and complexity in the market and the increased dependence on proxy voting advice can be addressed, and the goal of ensuring that shareholders receive more transparent, accurate, and complete information can be furthered, without the full set of disclosures that would be required with a definitive proxy statement. We also recognize that a requirement to publicly file proxy voting advice with the Commission and disseminate proxy materials to the shareholders of

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[39] See *id.* at 66519-21.

[40] *See, e.g.*, letters from Mark A. Bloomfield, President and CEO, American Council for Capital Formation (Jan. 27, 2020) ("ACCF"); Kyle Isakower, Senior Vice Pres. of Reg. & Energy Policy, American Council for Capital Formation (July 7, 2020) ("ACCF II"); Cameron Arterton, Vice President, Biotechnology Innovation Organization (Feb. 3, 2020) ("BIO"); Business Roundtable (Feb. 3, 2020) ("BRT"); Tom Quaadman, Vice President, U.S. Chamber of Commerce Center for Capital Markets Competitiveness (Jan. 31, 2020) ("CCMC"); Henry D. Eickelberg, Chief Operating Officer, Center on Executive Compensation (Feb. 3, 2020) ("CEC"); Corporate Governance Coalition for Investor Value (Feb. 3, 2020) ("CGC"); Neil A. Hanson, Vice President, Investor Relations and Secretary, Exxon Mobil Corporation (Feb. 3, 2020) ("Exxon Mobil"); Rick E. Hansen, Assistant General Counsel and Corporate Secretary, General Motors Company (Feb. 25, 2020) ("GM"); Clifton A. Pemble, President and CEO, Garmin International, Inc. (Jan. 27, 2020) ("Garmin"); Brian S. Roman, Global General Counsel (Feb. 3, 2020) ("Mylan"); Chris Netram, Vice President, Tax & Domestic Economic Policy, National Association of Manufacturers (Feb. 3, 2020) ("NAM"); Tony M. Edwards, Senior Executive Vice President, and Victoria P. Rostow, Senior Vice President & Deputy General Counsel (Feb. 3, 2020) ("Nareit"); John A. Zecca, Executive Vice President, Chief Legal and Regulatory Officer, Nasdaq, Inc. (Feb. 3, 2020) ("Nasdaq"); Gary A. LaBranche, President & CEO, National Investor Relations Institute (Feb. 3, 2020) ("NIRI"); Darla Stuckey, President and CEO, Society for Corporate Governance (Feb. 3, 2020) ("SCG") .

every registrant covered by the advice could result in the addition of significant substantive and procedural changes in the current operations of proxy voting advice businesses and could adversely impact their business models. For example, such a requirement would effectively allow investment advisers, institutional investors, and other investors who do not subscribe to the services of proxy voting advice businesses to obtain certain proxy voting advice services free of charge.

For these reasons, we believe that as a general matter these businesses should continue to be eligible for the benefits of conditional, tailored exemptions from the information and filing requirements of the Federal proxy rules generally applicable to registrants and others. In light of the significant role proxy voting advice plays in the voting decisions of institutional investors and others, however, we also believe that the exemptions need to be fashioned both to elicit adequate disclosure and to enable proxy voting advice businesses' clients to have reasonable and timely access to transparent, accurate, and complete information material to matters presented for a vote—thereby ensuring that the continued use of the exemptions facilitates informed voting decisions and does not undermine the purposes of the Federal proxy rules.

Some commenters argued that the Investment Advisers Act of 1940 (the "Advisers Act") is the proper regulatory regime for proxy voting advice businesses, and that the Advisers Act and an investment adviser's fiduciary duty already address the stated objectives of the proposed rules.[41] We disagree. The Advisers Act and Section 14(a) serve distinct, though overlapping, regulatory purposes. The Advisers Act is a principles-based regulatory framework, at the center of which is a federal fiduciary duty to clients that is based on equitable common law principles.[42] Section 14(a)

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[41] *See, e.g.,* letter from Gary Retelny, CEO, Institutional Shareholder Services, Inc. (Jan. 31, 2020) ("ISS").

[42] *See* Commission Interpretation Regarding Standard of Conduct for Investment Advisers, Release No. IA-5248 at 6 (June 5, 2019), 84 FR 33669, 33670 (July 12, 2019) ("Standard of Conduct for Investment Advisers"); *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180, 194 (1963) (noting that the Advisers Act "reflects a congressional recognition 'of the delicate fiduciary nature of an investment advisory relationship,' as well as a congressional intent

grants the Commission broad power to adopt rules to control the conditions under which proxies may be solicited in order to address a Congressional concern that the solicitation of proxy voting authority be conducted on a fair, honest, and informed basis.[43]

As a preliminary matter, we note that proxy voting advice businesses differ as to whether they believe they fall within the definition of an investment adviser under the Advisers Act and should be registered as investment advisers. The Commission has stated previously that when proxy voting advice businesses provide certain services, they meet the definition of investment adviser under the Advisers Act and thus are subject to regulation under the Act.[44] Specifically, a person is an "investment adviser" if the person, for compensation, engages in the business of providing advice to others as to the value of securities, whether to invest in, purchase, or sell securities, or issues reports or analyses concerning securities.[45] Proxy voting advice businesses provide analyses of shareholder proposals, director candidacies, or corporate actions and provide advice concerning particular votes in a manner designed to assist their institutional clients to achieve their investment goals with respect to the voting of securities they hold.[46] In other words, proxy voting advice businesses, for compensation, engage in the business of issuing reports or analyses concerning securities and providing advice to others as to the value of securities and would therefore meet the definition of an investment adviser unless an exclusion applies.[47]

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to eliminate, or at least to expose, all conflicts of interest which might incline an investment adviser -- consciously or unconsciously -- to render advice which was not disinterested").

[43] *See* Communications Among Shareholders Adopting Release at 48277; Proposing Release at n.3.

[44] *See* Concept Release at 43010.

[45] Advisers Act Section 202(a)(11) [15 U.S.C. § 80b-2(a)(11)]. Sections 202(a)(11)(A) through (G) of the Advisers Act address exclusions to the definition of the term "investment adviser." [15 U.S.C. 80b-2(a)(11)(A) through (G)].

[46] See Concept Release at 43010.

[47] *Id.*

One such exclusion from the definition of an investment adviser under the Advisers Act is the "publisher's exclusion." Specifically, Section 202(a)(11)(D) of the Advisers Act excludes from the definition of an investment adviser a "publisher of any bona fide newspaper, news magazine or business or financial publication of general and regular circulation."[48] At least one large proxy voting advice business has taken the position that if it was deemed to be an investment adviser, it could rely on the exclusion for publishers contained in Section 202(a)(11)(D) of the Advisers Act.[49]

Regardless of the applicability of the Advisers Act, however, we believe the concerns motivating the rules we are adopting are squarely subject to, and appropriately addressed through, regulation under Section 14(a).[50] As we noted in the Proposing Release, proxy voting advice businesses provide voting advice to clients that exercise voting authority over a sizable number of

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[48] *Lowe v. SEC*, 472 U.S. 181 (1985). The U.S. Supreme Court has interpreted the "publisher's exclusion" to include publications that offer impersonal investment advice to the general public on a regular basis. To qualify for the section 202(a)(11)(D) exclusion, the publication must be: (1) of a general and impersonal nature, in that the advice provided is not adapted to any specific portfolio or any client's particular needs; (2) "bona fide" or genuine, in that it contains disinterested commentary and analysis as opposed to promotional material; and (3) of general and regular circulation, in that it is not timed to specific market activity or to events affecting, or having the ability to affect, the securities industry.

[49] *See* letter from Katherine Rabin, CEO, Glass Lewis & Co., LLC (Nov. 14, 2018), *available at* https://www.glasslewis.com/wp-content/uploads/2018/11/GL-SEC-Roundtable-Statement-111418.pdf. The Government Accountability Office in its Report about proxy advisory firms to the Committee on Banking, Housing, and Urban Affairs of the U.S. Senate in 2016 also took note of the differences in registration status of proxy advisory firms. The Report observed that one large proxy voting advice business is not registered with the SEC as an investment adviser, while another is, and a third is registered as a nationally recognized statistical rating organization. *See* Report to the Chairman, Subcommittee on Economic Policy, Committee on Banking, Housing, and Urban Affairs, U.S. Senate, Corporate Shareholder Meetings, Proxy Advisory Firms' Role in Voting and Corporate Governance Practices from the U.S. Government Accountability Office (Nov. 2016), *available at* https://www.gao.gov/assets/690/681050.pdf.

[50] Whether an entity meets the definition of an investment adviser or is eligible for an exclusion does not impact the analysis of whether it is engaged in "solicitation" for purposes of Section 14(a). Relatedly, the retention of a proxy voting advice business does not relieve an investment adviser of its obligations under the Advisers Act to its clients. *See* Commission Guidance Regarding Proxy Voting Responsibilities of Investment Advisers, Release No. IA-5325, pp. 5-6 (Aug. 21, 2019) [84 FR 47420, 42421 (Sept. 10, 2019)] ("Commission Guidance on Proxy Voting Responsibilities"), Question No. 2 at 12, 84 FR 47423 (discussing steps that an investment adviser that has assumed the authority to vote proxies on behalf of clients could take to demonstrate that it is making voting determinations in a client's best interest); *see also Supplement to Commission Guidance Regarding Proxy Voting Responsibilities of Investment Advisers,* Release No. IA-5547 (July 22, 2020) ("Supplemental Proxy Voting Guidance").

shares that are voted annually, and these businesses are uniquely situated in today's market to influence investors' voting decisions.[51] This advice also implicates interests beyond those of the clients who utilize it when voting. Because these clients vote shares they hold on behalf of thousands of retail investors, this advice affects the interests of these underlying investors. Further, in light of proxy voting advice businesses' clients' ability to affect the outcome of the vote on a particular matter through their voting power, the proxy voting advice guiding the clients' votes potentially affects the interests of all shareholders[52] of the registrant, the registrant, and the proxy system in general.[53]

In the areas of proxy voting, proxy solicitation, and related activities, the Advisers Act, Section 14(a), and various other statutes and Commission rules do not operate independently from each other and are not mutually exclusive. Rather, depending on the activity and status of the person involved, more than one statutory provision and related rules may apply, with the various provisions complementing each other. For example, Section 13(d) of the Exchange Act and the related rules[54] are designed to ensure that market participants are informed when any shareholder (or group of shareholders) acquires more than five percent of a class of equity securities registered under Exchange Act Section 12.[55] Section 13(d) and the related rules generally require these holders to disclose publicly their ownership and other information mandated by the Commission, such as any plans that the holders may have to change the board of directors or management or to

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[51] *See* Proposing Release at 66520.

[52] *See supra* note 18.

[53] *Cf. J. I. Case Co. v. Borak*, 377 U.S. 426, 432 (1964) ("The injury which a stockholder suffers from corporate action pursuant to a deceptive proxy solicitation ordinarily flows from the damage done the corporation, rather than from the damage inflicted directly upon the stockholder. The damage suffered results not from the deceit practiced on him alone but rather from the deceit practiced on the stockholders as a group.").

[54] 17 CFR 240.13d-1 through 13d-102 ("Rules 13d-1 through 13d-102").

[55] 15 U.S.C. 78m(d).

engage in extraordinary transactions (such as mergers or material asset sales), for so long as the holdings exceed the five percent threshold as well as any material changes to these disclosures.[56] These mandated disclosures, which are provided in Schedule 13D, along with the short-form Schedule 13G adopted pursuant to Exchange Act Section 13(g),[57] have proven important to investor protection by providing public notice of significant accumulations of securities by a person that may affect the control of the company and, ultimately, the interests of all security holders in the company, including in the context of proxy voting.

Yet, the obligation for a shareholder to file Schedules 13D or 13G does not obviate the shareholder's obligation to comply with Section 14(a) and the Federal proxy rules to the extent that the shareholder engages in activities that constitute a proxy solicitation. For example, a dissident shareholder seeking to solicit proxy authority to elect its own director nominees to a registrant's board in a contested election must still file and furnish a definitive proxy statement even though the dissident shareholder may have previously disclosed in its Schedule 13D the plan to change the board of directors. This is the result of Congress establishing these two separate statutory provisions with different purposes, with Section 13(d) focused on providing notice about concentration of voting power and the use of that power, including to change or influence the control of the issuer, and Section 14(a) focused on providing information needed for informed shareholder voting, and the fact that a shareholder may engage in an activity that triggers obligations under both provisions.

The two statutory obligations often complement each other. For example, Exchange Act Rule 13d-1 provides certain shareholders, including many classes of institutional shareholders,

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[56] 17 CFR 240.13d-101.

[57] 15 U.S.C. 78m(g).

with a tailored, conditional exemption from the general requirements of Section 13(d) if the shareholder has acquired the securities "in the ordinary course of business and not with the purpose nor with the effect of changing or influencing the control of the issuer."[58] In various circumstances where shareholders are voting by proxy, and solicitation activity is ongoing—for example, the election of directors or the approval of an extraordinary corporate transaction—the information required to be disclosed publicly by Section 13(d) may be material to a voting decision and, accordingly, important to the regulation of the proxy voting process. Similarly, the Commission—noting that Section 13(d) already sets forth the circumstances for when public disclosures of such plans, proposals, or agreements are needed—adopted the Rule 14a-2(b)(1) exemption despite concerns from some commenters that proxy filings are needed for disclosure of a shareholder's plans or proposals regarding the registrant or shareholders' voting agreements on a particular matter.[59] At the same time, the exemption is not available for solicitations by any person who, while not seeking proxy authority, is nevertheless required to file a Schedule 13D or has disclosed in the Schedule 13D an intent (or reserved the right) to engage in a change of control

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[58] 17 CFR 240.13d-1(b)(1)(i).

[59] *See* Communications Among Shareholders Adopting Release at 48278 ("When and under what circumstances a large shareholder, or group of shareholders acting together, must reveal to the SEC, the company, other shareholders, and the market its plans and proposals regarding the company has been addressed by Congress, but not through the provisions governing proxy solicitations. Section 13(d) of the Exchange Act, as implemented by the Commission in its regulations adopted thereunder, sets forth the circumstances when public disclosure of plans and proposals by significant shareholders, as well as agreements among shareholders to act together with respect to voting matters, must be disclosed to the market."). *See also* Release No. 34-39538 (Jan. 12, 1998) [63 FR 2854 (Jan. 16, 1998)] (stating the Commission's views on when a significant shareholder's proxy soliciting activities and communications could be viewed as having the purpose or effect of changing or influencing control of the company and thereby triggering the obligation to file a Schedule 13D).

Under Section 13(d) and Section 13(g), a "group" is formed when two or more persons act together for the purpose of acquiring, holding, voting or disposing of the securities. Congress created the "group" concept to prevent persons who seek to pool their voting or other interests in the securities of an issuer from evading the Section 13(d) or 13(g) obligations because no one person owns more than five percent of the securities. Use of a proxy voting advice business by investors as a vehicle for the purpose of coordinating their voting decisions regarding an issuer's securities without complying with the filing obligations of Section 13(d) or 13(g) would raise compliance concerns under the beneficial ownership reporting requirements.